MAZARS Mostafa Shawki	PricewaterhouseCoopers EzzEldeen, Diab& CO.
Public Accountants & Consultants	Public Accountants

Abu Dhabi Islamic Bank" S.A.E"

condensed interim consolidated financial statements for the financial period ending on March 31, 2024 and the limited review report

PricewaterhouseCoopers Ezzeldeen, Diab & Co. Public Accountants	MAZARS MOSTAFA SHAWKI Public Accountants & Consultants

Limited Review Report of Condensed Consolidated Interim Financial Statements

To: Board of Directors of Abu Dhabi Islamic Bank - Egypt "S.A.E"

Introduction

We have performed a limited review on the accompanying condensed consolidated interim statement of financial position of Abu Dhabi Islamic Bank - Egypt "S.A.E" and its subsidiaries (together the "Group") as of 31 March 2024 and the related condensed consolidated interim statements of income, comprehensive income, cash flows and changes in equity for the three months then ended. Management is responsible for the preparation and fair presentation of these condensed consolidated interim financial statements in accordance with the rules of preparation and presentation of banks' financial statements and basis of recognition and measurement issued by the Central Bank of Egypt on 16 December 2008 as amended by the regulation issued on 26 February 2019 and its subsequent interpretive instructions and Central Bank of Egypt board of directors resolution on 3 May 2020 regarding issuing condensed interim financial statements and with the requirements of applicable Egyptian laws and regulations. Our responsibility is to express a conclusion on these condensed consolidated interim financial statements based on our limited review.

Scope of Limited Review

We conducted our limited review in accordance with the Egyptian standard on review engagements No. (2410) "Review of interim financial information performed by the independent auditor of the entity". A limited review of condensed consolidated interim financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other limited review procedures. A limited review is substantially less in scope than an audit conducted in accordance with Egyptian Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion on these condensed consolidated interim financial statements.

Conclusion

In light of our limited review, nothing has come to our attention that causes us to believe that the accompanying condensed consolidated interim financial statements are not prepared, in all material respects, in accordance with the rules of preparation and presentation of banks' financial statements and basis of recognition and measurement issued by the Central Bank of Egypt on 16 December 2008 as amended by the regulation issued on 26 February 2019 and its subsequent interpretive instructions and Central Bank of Egypt board of directors resolution on 3 May 2020 regarding issuing condensed interim financial statements and with the requirements of applicable Egyptian laws and regulations.

Auditors

Ashraf Mamdouh Accountants And Auditors Register No. (26231) Financial Regulatory Authority Register No. (383) CBE Register No. (569) Fellow of Egyptian Society of Accountants and Auditors Member of American Institute of Certified Public Accountants PricewaterhouseCoopers Ezzeldeen, Diab & Co. Public Accountants Plot No 211, Second Sector, City Center New Cairo 11835, Egypt	Huda Mostafa Shawki Accountants And Auditors Register No. (3451) Financial Regulatory Authority Register No. (7) CBE Register No. (92) Fellow of Egyptian Society of Accountants and Auditors Fellow of Egyptian Tax Society MAZARS MOSTAFA SHAWKI Public Accountants & Consultants 153 Mohamed Farid St., Bank Misr Tower, Cairo

Cairo, 9 May 2024

Abu Dhabi Islamic Bank (ADIB) – Egypt – S.A.E

Translation of Financial statements originally issued in Arabic
Condensed consolidated interim statement of financial position as at 31 March 2024

	Note No	31 March 2024 EGP (in thousands)	31 December 2023 EGP (in thousands)
Assets			
Cash and due from Central Bank of Egypt	13	13,186,795	9,985,417
Due from banks	14	52,054,422	48,591,299
Conventional financing to customers (net of expected credit losses)	15	18,027	16,305
Financing and facilities to customers (net of expected credit losses)	15	80,491,461	63,083,489
Islamic Pre promised exchange contracts		47,871	34
Financial investments			
- Fair value through profits and losses	1/16	123,608	213,054
- Financial investments at FVOCI	2/16	11,963,900	11,697,889
- Financial investments at amortized cost	3/16	25,707,244	21,933,121
Investments in associates		330,571	320,378
Intangible assets (net of accumulated amortization)		36,596	38,832
Other assets		4,264,016	3,629,787
Fixed assets (net of accumulated depreciation)	17	661,688	647,461
Investments properties (net)		10,533	14,709
Financial leased assets to others		1,903,727	1,919,651
Deferred tax assets		243,475	163,253
Total assets		**191,043,934**	**162,254,679**
Liabilities and equity			
Liabilities			
Due to banks	18	17,259,243	6,478,842
Customers' deposits	19	143,213,743	127,031,908
Islamic Pre promised exchange contracts		29,589	3,450
Subordinated Financing / Other Islamic Financings	20	6,588,518	4,753,202
Other liabilities		4,153,934	6,727,424
Current income tax liability		2,051,523	1,530,248
Other provisions	21	1,386,757	1,077,798
Defined benefits obligations		308,708	287,359
Total liabilities		**174,992,015**	**147,890,231**
Equity			
Issued & Paid up Capital	2/22	5,000,000	5,000,000
Paid up capital under registration	3/22	1,000,000	-
Reserves	23	1,112,149	745,190
Difference between face value and present value for non-interest subordinated financing		29,077	30,435
Retained earnings		8,887,942	8,569,192
Total equity attributable to equity holders' of the bank		**16,029,168**	**14,344,817**
Non-controlling interests		22,751	19,631
Total equity		**16,051,919**	**14,364,448**
Total liabilities and equity		**191,043,934**	**162,254,679**

The Limited Review Report is attached
The accompanying notes from (1) to (25) are integral part of these financial statements.

Mohamed Aly
Chief Executive Officer and
Managing Director

ADIB مصرف أبوظبي الإسلامي
Abu Dhabi Islamic Bank - Egypt
Finance Department

H.

Mohamed Shawky
Chief Financial Officer

Cairo on May 9, 2024

Abu Dhabi Islamic Bank (ADIB) – Egypt – S.A.E

Condensed consolidated interim income statement for the period ended 31 March 2024

	Note No	31 March 2024 EGP (in thousands)	31 March 2023 EGP (in thousands)
Income from Murabaha, Musharaka, Mudaraba and similar income		7,010,235	3,838,686
Cost of deposits and similar costs		(3,769,265)	(2,029,418)
Net income from funds	**6**	**3,240,970**	**1,809,268**
Fees and commissions income		615,306	495,925
Fees and commissions expenses		(150,502)	(75,139)
Net fees and commission income	**7**	**464,804**	**420,786**
Dividend income	**8**	749	309
Net trading income	**9**	284,561	123,841
Administrative expenses		(624,948)	(422,710)
Other operating expenses	**10**	(169,427)	(265,325)
Expected credit losses	**11**	(295,951)	(188,630)
Gain/Loss on financial investments		-	5
Share Of Associates Results		16,169	9,433
Net profit for the Period before tax		**2,916,927**	**1,486,977**
Income tax expense	**12**	(797,982)	(480,194)
Net profit for the Period From continuous operations		**2,118,945**	**1,006,783**
Attributable to:			
Shareholder's equity of the bank		2,115,860	1,005,916
Non-controlling interests		3,085	867
Net profit for the Period From continuous operations		**2,118,945**	**1,006,783**
Basic earning per share in net profit for the Period (EGP)		**3.71**	**2.13**

The accompanying notes from (1) to (25) are integral part of these financial statements.

Abu Dhabi Islamic Bank (ADIB) – Egypt – S.A.E

Condensed consolidated interim statement of comprehensive income for the period ended 31 March 2024

	31 March 2024 EGP (in thousands)	31 March 2023 EGP (in thousands)
Net profit for the Period	**2,118,945**	**1,006,783**
Items that will not be reclassified to the Profit and Loss:		
Change in fair value reserve of equity instruments at fair value through other comprehensive income	39,728	14,483
Tax impact related to other comprehensive income that will not be reclassified to the profit or loss	(8,939)	(3,259)
Items that will be reclassified to the Profit and Loss:		
Change in fair value reserve of debt instruments at fair value through other comprehensive income	88,697	(1,185)
Expected credit loss for fair value of debt Instruments measured at fair value through other comprehensive income	757	-
Deffered Income tax related to items that are reclassified to the profits and losses	(19,957)	267
Total other comprehensive income for the Period ,net of tax	**100,286**	**10,306**
Total comprehensive income for the Period net of tax	**2,219,231**	**1,017,089**
Attributable to:		
Shareholder's equity of the bank	2,216,146	1,016,222
Non-controlling interests	3,085	867
Total comprehensive income for the Period net of tax	**2,219,231**	**1,017,089**

The accompanying notes from (1) to (25) are integral part of these financial statements.

Abu Dhabi Islamic Bank (ADIB) – Egypt – S.A.E

Condensed consolidated interim statement of cash flows for the period ended 31 March 2024

	Note No.	31 March 2024 EGP (in thousands)	31 March 2023 EGP (in thousands)
Cash flows from operating activities			
Net profit for the year before tax		2,916,927	1,486,977
Adjustments to reconcile profits with cash flows from operating activities			
Depreciation and Amortization of fixed and intangible assets		31,280	20,029
Depreciation of investment property		303	307
Charge / (release) impairment loss of financing and facilities to customers	11	302,177	188,048
financing provision-Used	15	-	(40,012)
Collections of loans previously written off	15	12,812	-
Charge / (release) other provisions	21	310,603	116,627
Provisions no longer required other than financing provision	21	(178,482)	(100)
Provisions used other than financing provision	21	(3,618)	(2,925)
Bonds' premium and discount amortization		(640,861)	(97,745)
Foreign currency valuation differences of financing provisions in foreign currencies	15	529,795	133,728
Foreign currency valuation differences of provisions in foreign currencies other than finan	21	180,456	82,406
Foreign currency valuation differences of due from banks provisions in foreign currencies	14	6,928	388
Foreign currency valuation differences of financial investments at FVOCI in foreign currer		(90,899)	(12,556)
Foreign currency valuation differences of financial assets at AC in foreign currencies		(1,290,980)	-
Foreign currency valuation differences provisions in foreign currencies for financial instru		41,739	7,139
Foreign currency valuation differences of subordinated financing - With coupon	20	1,305,792	295,435
Foreign currency valuation differences of subordinated financing - Zero coupon	20	556,151	204,389
Foreign currency valuation differences of subordinated financing - Zero coupon - Equity		9,022	5,297
Losses / (Gains) valuation of financial investments at FVPL		(7,932)	(3,648)
Gains (losses) from revaluation of Pre promised Forward contracts		25,266	(6,232)
Charge /(release) impairment loss of due from banks	11	(10,884)	3,735
Charge /(release) impairment loss provisions of FVOCI instruments	11	(1,460)	-
Charge /(release) impairment loss of financial investments at amortized cost	11	6,118	(3,153)
Losses / (Gains) sale of equity instruments at FVPL		(5,062)	(4,387)
Losses / (Gains) sale of equity instruments at FVOCI		-	(5)
Losses / (Gains) on sale of fixed assets	10	-	(5,284)
Gain / (Losses) on sale of assets reverted to bank	10	-	(900)
Losses / (Gains) on sale of Investment Property	10	(6,628)	-
Bank's Share of Associates' results		(16,169)	(9,433)
Dividends income from equity instruments at FVOCI	8	(749)	(309)
Amortization of subordinated financing using EIR method	20	10,380	6,620
Operating profits before changes in assets and liabilities resulting from operating activities		**3,992,025**	**2,364,436**
Net change in assets & liabilities			
Due from banks with maturity more than 90 days		(844,752)	(11,977,550)
Treasury bills with maturity more than 90 days		(643,310)	(4,155,723)
Financial investments at FVPL		102,440	119,327
Financing and facilities to customers and banks	15	(18,359,884)	(4,126,306)
Other assets		(539,160)	(60,240)
Receivables of Leased assets		15,203	(22,204)
Due to banks	18	10,780,401	1,883,681
Customers' deposits	19	16,086,240	3,865,834
Financial Pre promised Contracts		(46,964)	16,141
Other liabilities		(2,558,318)	259,961
Employees' Benefits obligations		21,349	9,269
Income tax paid		(385,912)	(246,337)
Net Cash flows generated from Operating activities		**7,619,358**	**(12,069,711)**

Abu Dhabi Islamic Bank (ADIB) – Egypt – S.A.E

Condensed consolidated interim statement of cash flows for the period ended 31 March 2024

		31 March 2024 EGP (in thousands)	31 March 2023 EGP (in thousands)
Cash flows from investing activities			
Payments to purchase of fixed assets & Branches fixtures	**17**	(39,888)	(37,824)
Proceeds from sale of fixed assets		-	6,126
Payments to purchase of intangible assets		(3,383)	-
Proceeds from Sale of Investment Property		10,500	-
Payments to purchase financial investments at FVOCI		(300,300)	5
Payments to purchase financial investments at AC		(1,593,470)	(863,952)
Proceeds from recovery of financial investments at AC		1,370,600	2,701,308
Proceeds from sale of investments in subsidiaries and associates		4,900	-
Proceeds from dividends income		749	309
Net Cash flows generated from/(used in) generated from Investing activities		**(550,292)**	**1,805,972**
Cash flows from financing activities			
Paid up capital under registration		1,000,000	1,000,000
General Reserve		-	5,000
Proceeds / (Paid) from other long term loans		45,595	(18,452)
Dividends income paid		(1,528,520)	(303,138)
Net Cash flows generated from financing activities		**(482,925)**	**683,410**
Net Increase in ash and cash equivalents during the Period		6,586,141	(9,580,329)
Cash and Cash Equivalents at the beginning of the Period		55,075,924	20,314,909
Cash and cash equivalents at the end of the Period		**61,662,065**	**10,734,580**
Cash and cash equivalents are represented in			
Cash and due from Central Bank of Egypt	**13**	13,186,795	10,192,531
Due from banks	**14**	52,063,709	26,278,160
Treasury bills		17,611,375	6,351,183
Central Bank of Egypt Reserve		(12,366,788)	-
Due from banks with maturity more than three months from date of acquisition		-	(25,992,763)
Treasury bills with maturity more than three months from date of acquisition		(8,833,026)	(6,094,531)
Cash and cash equivalents at the end of the Period		**61,662,065**	**10,734,580**

The accompanying notes from (1) to (25) are integral part of these financial statements.

Abu Dhabi Islamic Bank (ADIB) – Egypt – S.A.E

Condensed consolidated interim statement of changes in equity for the period ended 31 March 2024

EGP (in thousands)

	Paid up capital	Paid up capital under registration	Capital Reserve	Legal reserve	General reserve	Special reserve	General banking risk reserve	General risk reserve	Fair value reserve	Difference between face value and present value for non-interest subordinated financing	Retained earnings	Total	Non-controlling interests	Total
31 March 2023														
Balance at 1 January 2023	2,000,000	-	4,063	149,239	51,371	25,295	9,062	219,979	83,878	35,780	4,311,574	**6,890,241**	13,558	**6,903,799**
Transferred to reserves	-	-	685	106,252	5,000	-	632	-	-	-	(107,569)	**5,000**	-	**5,000**
Dividends distributions to employees, board members and the banking system development fund	-	-	-	-	-	-	-	-	-	-	(303,138)	**(303,138)**	-	**(303,138)**
Net change in other comprehensive income items	-	-	-	-	-	-	-	-	10,306	-	-	**10,306**	-	**10,306**
Amortization of the difference between face value and present value of subordinated financing	-	-	-	-	-	-	-	-	-	(1,323)	6,620	**5,297**	-	**5,297**
Transfer From Liabilities To Equities	2,000,000	1,000,000	-	-	-	-	-	-	-	-	-	**3,000,000**	-	**3,000,000**
Prior periods impact of subsidiaries & associates adjustments	-	-	-	-	-	10,845	-	-	-	-	(4,278)	**6,567**	5,507	**12,074**
Net profit for the Year	-	-	-	-	-	-	-	-	-	-	1,005,916	**1,005,916**	867	**1,006,783**
Balance at 31 December 2023	**4,000,000**	**1,000,000**	**4,748**	**255,491**	**56,371**	**36,140**	**9,694**	**219,979**	**94,184**	**34,457**	**4,909,125**	**10,620,189**	**19,932**	**10,640,121**
31 March 2024														
Balance at 1 January 2023	5,000,000	-	4,748	255,491	54,955	31,968	-	219,979	178,049	30,435	8,569,192	**14,344,817**	19,631	**14,364,448**
Transferred to reserves	-	-	41,556	222,452	-	-	-	-	-	-	(264,008)	**-**	-	**-**
Dividends distributions to employees, board members and the banking system development fund	-	-	-	-	-	-	-	-	-	-	(528,520)	**(528,520)**	-	**(528,520)**
Net change in other comprehensive income items	-	-	-	-	-	-	-	-	100,286	-	-	**100,286**	-	**100,286**
Amortization of the difference between face value and present value of subordinated financing	-	-	-	-	-	-	-	-	-	(1,358)	10,380	**9,022**	-	**9,022**
Prior years Impact of subsidiaries adjustments	-	-	-	-	-	2,665	-	-	-	-	(14,962)	**(12,297)**	35	**(12,262)**
Shareholders' distributions (free shares)	-	1,000,000	-	-	-	-	-	-	-	-	(1,000,000)	**-**	-	**-**
Net profit for the Year	-	-	-	-	-	-	-	-	-	-	2,115,860	**2,115,860**	3,085	**2,118,945**
Balance at 31 March 2024	**5,000,000**	**1,000,000**	**46,304**	**477,943**	**54,955**	**34,633**	**-**	**219,979**	**278,335**	**29,077**	**8,887,942**	**16,029,168**	**22,751**	**16,051,919**

The accompanying notes from (1) to (25) are integral part of these financial statements.

1.GENERAL INFORMATION

Abu Dhabi Islamic Bank ("ADIB") - Egypt (formerly National Development Bank - a joint stock company) was incorporated as an Egyptian joint stock company under Law No. 43/1974 and its executive regulations in the Arab Republic of Egypt. The main office of the Bank is located at 9 Rustom Street - Garden City, Cairo. The bank is listed on the Egyptian Stock Exchange.

ADIB was registered in the Commercial Register on April 3, 2013 by changing the bank's name from National Development Bank to Abu Dhabi Islamic Bank (ADIB) - Egypt.

ADIB provides corporates, retail banking, investment and custody services in the Arab Republic of Egypt through 70 branches, delegates and agencies employing more than 2,405 employees on the date of the financial statements.

These condensed separate interim financial statements for the period ended March 31, 2024 were approved by the Board of Directors on May 9, 2024.

2.BASIS OF PREPARATION OF THE CONDENSED SEPARATE FINANCIAL STATEMENTS

These condensed separate financial statements have been prepared in accordance with the instructions of the Central Bank of Egypt (CBE) rules approved by its board of directors on December 16th, 2008, and as per IFRS (9) "Financial Instruments" in accordance with the instructions of the CBE dated February 26th, 2019, and in light of the revised Egyptian Accounting Standards (EAS) issued during the year 2015; related amendments and the provisions of local laws and as per of Egyptian laws and regulations related to the preparation of these separate financial statements and The bank has issued Condensed Financial Statements based on the instructions of the Central Bank of Egypt issued on May 3, 2020. Then revert back to what is not stated in the instructions of the Central Bank of Egypt, to the requirements of the instructions that allow banks to issue Condensed quarterly financial statements

The financial statements of the Bank had been prepared till 31st December 2018 using rules for the preparation and presentation of the financial statements of banks and the recognition and measurement principles issued by (CBE) on 16th December 2008; however, as from 1st January 2019 and based on the instructions issued by the (CBE) relevant to preparation of the financial statements of banks in the accordance with (IFRS 9) "Financial Instruments" as of 26th February 2019, the management has modified certain accounting policies to conform to those instructions. The following note details the changes in accounting policies.

These condensed separate interim financial statements do not include all information and disclosures required for full annual separate financial statements prepared in accordance with CBE rules mentioned above and should be read in conjunction with the bank's financial statements as at year ended December 31, 2023.

In preparing these condensed separate interim financial statements, significant judgements made by the management in applying the bank's accounting policies and the key sources of estimation were the same as those were applied to the separate financial statements as at year ended December 31, 2023.

3.FINANCIAL RISK MANAGEMENT

3/1/1 Financing and facilities

The balances of financing and facilities in terms of credit worthiness are as follows:

Financing and facilities	31 March 2024 Financing and facilities to customers	31 December 2023 Financing and facilities to customers
Neither past due not impaired	78,771,232	62,232,643
Past due but not impaired	5,925,085	4,236,763
Impaired	888,200	931,288
Total	**85,584,517**	**67,400,694**
Less:		
Expected Credit Losses	(4,994,939)	(4,213,187)
Profit in suspense	(80,090)	(87,713)
Net	**80,509,488**	**63,099,794**

- Secured financing are not considered to be impaired for the non-performing, taking into account the viability of such collaterals.
- During the period ended 31 March 2024, the Bank's portfolio of financing and facilities increased by 26.98% (31 December 2023, an increase of 13.51%).

3.Financial risk management - Continued

3/1/3 Financing and facilities-continued

The table below shows the changes in Expected Credit Losses for the three stages:

Retail	31 March 2024 Stage 1 12 Month	Stage 2 Life time	Stage 3 Life time	Total	31 December 2022 Stage 1 12 Month	Stage 2 Life time	Stage 3 Life time	Total
Balance of expected credit losses on 1 January 2024	235,573	82,170	309,069	**626,812**	202,316	82,568	347,582	**632,466**
Transferred from stage 1	(3,080)	2,874	206	**-**	(4,859)	3,858	1,001	**-**
Transferred from stage 2	13,708	(29,080)	15,372	**-**	16,425	(34,881)	18,456	**-**
Transferred from stage 3	54,102	124	(54,226)	**-**	1,823	441	(2,264)	**-**
Charge / (Release) of Expected credit losses	(36,865)	32,314	54,795	**50,244**	9,047	33,986	98,360	**141,393**
New Financial assets purchased	8,521	193	95	**8,809**	18,803	17,226	6,587	**42,616**
Financial assets disposed of/ paid	(52)	(512)	(983)	**(1,547)**	(7,982)	(21,028)	-	**(29,010)**
Used provisions	-	-	(49,143)	**(49,143)**	-	-	(160,653)	**(160,653)**
Balance of Expected Credit Losses	**271,907**	**88,083**	**275,185**	**635,175**	**235,573**	**82,170**	**309,069**	**626,812**

EGP (in thousands)

Corporate	31 March 2024 Stage 1 12 Month	Stage 2 Life time	Stage 3 Life time	Total	31 December 2022 Stage 1 12 Month	Stage 2 Life time	Stage 3 Life time	Total
Balance of expected credit losses on 1 January 2024	1,004,391	2,136,862	445,122	**3,586,375**	1,037,885	545,970	480,607	**2,064,462**
Transferred from stage 1	(37,318)	37,253	65	**-**	(17,903)	16,847	1,056	**-**
Transferred from stage 2	17,288	(18,181)	893	**-**	15,429	(16,187)	758	**-**
Foreign exchange translation differences	116,818	412,824	152	**529,794**	18,942	113,011	1,226	**133,179**
Charge / (Release) of Expected credit losses	(320,665)	417,872	1,212	**98,419**	(221,479)	398,740	4,981	**182,242**
New Financial assets purchased	287,233	7,370	-	**294,603**	415,021	1,138,224	4,364	**1,557,609**
Financial assets disposed of/ paid	(138,297)	(5,229)	(5,232)	**(148,758)**	(243,504)	(59,743)	-	**(303,247)**
Used provisions	-	-	(669)	**(669)**	-	-	(47,870)	**(47,870)**
Balance of Expected Credit Losses	**929,450**	**2,988,771**	**441,543**	**4,359,764**	**1,004,391**	**2,136,862**	**445,122**	**3,586,375**

3.FINANCIAL RISK MANAGEMENT- Continued

3/1/4 Concentration risk of financial assets exposed to credit risk

Geographical sectors

The following table represents an analysis of the Bank's most significant credit risk limits at book value, distributed by geographical segment at the end of the current period. When preparing this table, risk is allocated to the geographical segments according to the regions associated with the Bank's customers.

EGP (in thousands)

	Arab Republic of Egypt						
	Cairo	Alexandria, Delta & Sinai	Upper Egypt	**Total**	Gulf Countries	Other Countries	**Total**
Due from Banks	47,568,271	-	-	**47,568,271**	714,184	3,771,967	**52,054,422**
Debt instruments at FVOCI							
- Egyptian treasury Bonds	813,065	-	-	**813,065**	-	-	**813,065**
- Egyptian treasury bills	10,780,133	-	-	**10,780,133**	-	-	**10,780,133**
Debt instruments at amortized cost							
- Egyptian treasury Bonds	18,916,802	-	-	**18,916,802**	-	-	**18,916,802**
- Egyptian treasury bills	6,790,442	-	-	**6,790,442**	-	-	**6,790,442**
Retail Loans							
- Debit current accounts	4,050	1,498	240	**5,788**	-	-	**5,788**
- Credit cards	808,546	111,113	23,177	**942,836**	-	-	**942,836**
- Personal financings	13,998,059	4,423,822	870,448	**19,292,329**	-	-	**19,292,329**
- Real estate financings	458,136	34,441	-	**492,577**	-	-	**492,577**
Corporate Loans							
- Debit current accounts	7,814,314	5,313,202	79	**13,127,595**	-	-	**13,127,595**
- Credit cards	283	-	-	**283**	-	-	**283**
- Direct financings	37,293,362	13,036,230	351,407	**50,680,999**	-	-	**50,680,999**
- Syndicated financings	-	1,042,110	-	**1,042,110**	-	-	**1,042,110**
Less Expected Credit Losses	(3,575,247)	(1,400,669)	(19,023)	**(4,994,939)**	-	-	**(4,994,939)**
Less Profit in suspense	(66,059)	(12,131)	(1,900)	**(80,090)**	-	-	**(80,090)**
Balance at 31 March 2024	**141,604,157**	**22,549,616**	**1,224,428**	**165,378,201**	**714,184**	**3,771,967**	**169,864,352**
Balance at 31 December 2023	**133,009,797**	**9,807,661**	**1,174,675**	**143,992,133**	**714,184**	**317,865**	**145,024,182**

3.FINANCIAL RISK MANAGEMENT- Continued

3/2 Market Risk

The Bank is exposed to market risk represented in fluctuations in fair value or future cash flows arising from changes in market prices. The market risk arises from the open positions of the yield rates and foreign currencies, as each is exposed to general and private movements in the market and changes in the level of sensitivity to market rates or prices such as rates of yield and exchange rates. The Bank splits its exposure to market risk into trading and non-trading portfolios. The market risk management is monitored by two separate teams. Market risk reports are reported to the Risk Committee of the Board of Directors and heads of operating units on a regular basis.

The portfolios of financial investments at fair value through profit or loss include those positions resulting from the Bank's direct dealing with customers or with the market, while non-trading portfolios arise primarily from managing the yield rate on assets and liabilities. These portfolios include foreign exchange risk and equity instruments arising from financial investments at amortized cost and financial investments at fair value through other comprehensive income.

3/2/1 Risk of fluctuations in foreign exchange rates

- The Bank is exposed to risk of fluctuations in foreign exchange rates on its financial position and cash flows. The Board of Directors has set limits on foreign exchange at the total value of each of the positions at the end of the day as well as during the day. The following table summarizes the Bank's exposure to foreign exchange risk at the end of the financial year. The following table presents the book value of financial instruments distributed in their respective currencies:

EGP (in thousands)

31 March 2024	EGP	USD	Euro	Sterling Pound	Japanese Yen	Other currencies	Total
Assets							
Cash and due from Central Bank of Egypt	12,983,534	157,574	5,432	19,660	65	20,530	**13,186,795**
Due from banks	26,018,194	22,573,666	579,565	2,684,068	8,918	190,011	**52,054,422**
Financings and facilities to customers	59,418,216	18,955,178	4,786	2,131,307	-	-	**80,509,487**
Islamic Pre promised exchange contracts	47,637	234	-	-	-	-	**47,871**
Financial investments at FVPL	123,608	-	-	-	-	-	**123,608**
Financial investments at FVOCI	11,510,680	448,176	-	5,044	-	-	**11,963,900**
Financial investments at amortized cost	15,243,220	10,191,891	-	272,133	-	-	**25,707,244**
Leased Assets	1,903,727	-	-	-	-	-	**1,903,727**
Other assets	2,120,801	635,523	512	18,840	-	192	**2,775,868**
Total assets	**129,369,617**	**52,962,242**	**590,295**	**5,131,052**	**8,983**	**210,733**	**188,272,922**
Liabilities and shareholders' equity	-	-	-	-	-	-	
Due to banks	3,736,875	13,200,114	-	312,422	-	9,832	**17,259,243**
Customers' deposits	103,465,699	33,666,885	538,683	4,708,968	5,965	827,543	**143,213,743**
Islamic Pre promised exchange contracts	29,589	-	-	-	-	-	**29,589**
Subordinated financings	1,192,130	5,396,388	-	-	-	-	**6,588,518**
Other liabilities	500,559	239,427	513	3,231	-	80	**743,810**
Total Liabilities and shareholders' equity	**108,924,852**	**52,502,814**	**539,196**	**5,024,621**	**5,965**	**837,455**	**167,834,903**
Net financial position	**20,444,765**	**459,428**	**51,099**	**106,431**	**3,018**	**(626,722)**	**20,438,019**
31 December 2023							
Total assets	**122,489,830**	**33,842,399**	**363,126**	**2,851,574**	**-**	**112,720**	**159,659,649**
Total Liabilities and shareholders' equity	**103,616,378**	**31,294,624**	**358,125**	**2,839,849**	**5,050**	**563,899**	**138,677,925**
Net financial position	**18,873,452**	**2,547,775**	**5,001**	**11,725**	**(5,050)**	**(451,179)**	**20,981,724**

3.FINANCIAL RISK MANAGEMENT- Continued

3/2/2 Profit Rate Risk

- The Bank is exposed to the effects of fluctuations in the prevailing market yield rates, which is the risk of the cash flows of the yield rate of the future cash flows of a financial instrument due to changes in the instrument's yield rate and the risk of the fair value of the rate of yield , which is the risk of fluctuations in the value of the instrument due to changes in market yield rates , The margin of yield may increase as a result of those changes, but profits may fall in the event of unexpected movements. The Asset-Liability Committee (ALCO) sets limits on the level of variation in the re-pricing of the yield that the Bank may hold, and this is monitored daily by the Bank's risks.

3/3 Liquidity Risk

Liquidity risk is the risk that the Bank will encounter difficulties in meeting its obligations associated with its financial obligations at due date and the replacement of amounts withdrawn. This could result in failure to meet the repayment obligations of depositors and to meet financing commitments.

3/4 Capital Management

The objectives of the Bank in managing capital, in addition to the apparent equity in the financial position, are as follows:

- Compliance with the legal requirements of capital in the Arab Republic of Egypt and in the countries in which the Bank's branches operate.
- To protect the Bank's ability to continue and enable it to continue to generate yield for shareholders and other parties dealing with the Bank.
- Maintain a strong capital base that supports growth in activity.

Capital adequacy and capital uses are reviewed in accordance with the requirements of the regulatory body (the Central Bank of Egypt in the Arab Republic of Egypt or the supervisory bodies in which the foreign branches of the Bank operate) daily through the Bank's management, through models based on Basel Committee guidelines for banking supervision. The required data are provided to the Central Bank of Egypt on a quarterly basis.

The following table summarizes the basic and supporting capital components and capital adequacy ratios.

According to Basel II	31 March 2024 EGP (in thousands)	31 December 2023 EGP (in thousands)
Total basic going concern capital after disposal	15,512,168	13,912,367
Total additional basic capital	29,077	30,435
Total Tier 1 after disposal (basic capital)	15,541,245	13,942,802
Total Tier 2 after disposal	5,716,539	4,025,585
Total capital base after disposal	21,257,784	17,968,387
Total assets and contingent liabilities weighted by credit, market, operational risks	134,247,052	99,958,242
Capital Adequacy Ratio	15.83%	17.98%

3.FINANCIAL RISK MANAGEMENT- Continued

3/5 Leverage Ratio

The Board of Directors of the Central Bank of Egypt (CBE) at its meeting dated 7 July 2015 issued a resolution approving the supervisory instructions for the financial leverage, with the banks' commitment to the minimum rate of 3% on a quarterly basis as a binding control ratio starting from 2019.

In preparation for consideration of the first support of the Basel (Minimum Capital Adequacy) in order to preserve the strength and integrity of the Egyptian banking system and to comply with the best international supervisory practices in this regard. The leverage reflects the relationship between the first tier of capital used in the standard Capital adequacy (after exclusions), and bank assets (both within and outside the balance sheet) are not weighted by risk weights.

	31 March 2024 EGP (in thousands)	31 December 2023 EGP (in thousands)
Tier 1 capital after disposals (1)	15,541,245	13,942,802
Total on-balance sheet exposures items after deducting tier 1 disposals	193,282,041	164,388,488
Derivatives contracts exposures	62,230	7,049
Exposure resulting from securities financing	1,721	1,954
Total on-balance sheet exposures, financial derivatives contracts and financing financial	193,345,992	164,397,491
Total contingent liabilities	18,066,154	14,042,149
Total commitments	5,032,247	4,537,711
Total exposures off-balance sheet	23,098,401	18,579,860
Total exposures on-balance sheet and off-balance sheet (2)	216,444,393	182,977,351
Financial leverage ratio (1/2)	7.18%	7.62%

4. SIGNIFICANT ACCOUNTING ESTIMATES AND ASSUMPTIONS

The Bank shall use estimates and assumptions that affect the amounts of assets and liabilities disclosed during the next fiscal period / year. Estimates and assumptions shall be continually evaluated based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances and information available.

A. Estimates:

Information on estimates used in applying accounting policies that have a material impact on the amounts recognized in the financial statements:

- **Classification of financial assets**: Valuation of the business model in which the asset shall be retained and evaluated whether contractual terms of the financial asset shall result in the generating of cash flows in the form of payment of profit and installments on the outstanding balances of those assets.

B. Uncertainty Related with Assumptions and Estimates

Uncertainties related with assumptions and estimates of significant risks that may result in material adjustments in the financial year ended on 31 March 2024 shall be appeared in the following notes:

- **Impairment of financial instruments**: An assessment of whether there has been a significant increase in credit risk on financial assets since the initial recognition, taking into account, the impact of future information upon measuring the expected credit losses.
- **Determination of the fair value of financial instruments**: using unobservable inputs upon measuring.
- **Measurement of defined benefit liabilities**: Key actuarial assumptions.
- **Recognition of deferred tax assets**: the existence of future taxable profits that may be benefited from forward tax losses.

5. SEGMENTS ANALYSIS

The activity segments shall include the operations, assets used in the provision of banking services, the management of the risks surrounding them, and the profit related with this activity, which may differ from other activities. The segment analysis of operations in accordance with the banking business shall include:

Corporates
Including current account activities, deposits, debit current accounts receivable, finance, credit facilities.

Investment
Including corporate mergers, investment purchasing, financing of corporate restructuring and financial instruments and financial derivatives.

Retail
Including current account activities, savings, deposits, credit cards, personal finance and real estate finance.

Other activities
Including other banking activities as the management of funds and transactions between activity segments in accordance with the normal course of business of the Bank; assets and liabilities shall include operating assets and liabilities as presented in the Bank's financial position.

EGP (in thousands)

31 March 2024	corporate	Investment	Retail	Other activities	Total
Revenues and expenses by activity segment					
Revenues of activity segment	1,519,148	1,040,075	937,283	551,610	**4,048,116**
Expenses of activity segment	(572,833)	(12,166)	(398,163)	(148,027)	**(1,131,189)**
Net profit for the Period before tax	946,315	1,027,909	539,120	403,583	**2,916,927**
Tax	(215,752)	(239,316)	(125,337)	(217,577)	**(797,982)**
Net profit for the Period	**730,563**	**788,593**	**413,783**	**186,006**	**2,118,945**
Assets and liabilities by activity segment					
Assets of activity segment	57,942,334	89,344,391	23,075,058	-	**170,361,783**
Un-classified assets	-	-	-	20,682,151	**20,682,151**
Total assets	**57,942,334**	**89,344,391**	**23,075,058**	**20,682,151**	**191,043,934**
Liabilities of activity segment	74,321,491	22,815,413	69,532,928	-	**166,669,832**
Un-classified liabilities	-	-	-	8,322,183	**8,322,183**
Total liabilities	**74,321,491**	**22,815,413**	**69,532,928**	**8,322,183**	**174,992,015**

EGP (in thousands)

31 December 2023	corporate	Investment	Retail	Other activities	Total
Revenues and expenses by activity segment					
Revenues of activity segment	3,776,767	2,239,373	2,983,338	1,696,852	**10,696,330**
Expenses of activity sectors	(1,933,006)	(124,758)	(1,386,963)	(716,249)	**(4,160,976)**
Profit for the year before tax	**1,843,761**	**2,114,615**	**1,596,375**	**980,603**	**6,535,354**
Tax	(414,878)	(780,124)	(379,168)	(287,344)	**(1,861,514)**
Profit for the year	**1,428,883**	**1,334,491**	**1,217,207**	**693,259**	**4,673,840**
Assets and liabilities by activity segment					
Assets of activity sectors	43,193,792	81,922,936	20,369,395	-	**145,486,123**
Non-Classified assets	-	-	-	16,768,556	**16,768,556**
Total assets	**43,193,792**	**81,922,936**	**20,369,395**	**16,768,556**	**162,254,679**
Liabilities of activity sectors	66,622,150	10,458,786	60,538,143	-	**137,619,079**
Non-classified liabilities	-	-	-	10,271,152	**10,271,152**
Total liabilities	**66,622,150**	**10,458,786**	**60,538,143**	**10,271,152**	**147,890,231**

6.NET PROFIT INCOME

	31 March 2024 EGP (in thousands)	31 March 2023 EGP (in thousands)
Income from Murabaha, Musharaka, Mudaraba and other similar income		
To customers	3,369,868	2,331,590
Total	**3,369,868**	**2,331,590**
Financial investments in debt instruments at AC and FVOCI*	7,097	-
Deposits and current accounts*	3,490,664	1,425,125
Income from Lease Receivable	142,606	81,971
Total	**7,010,235**	**3,838,686**
Cost of deposits and similar costs		
To banks	(208,177)	(24,805)
To customers	(3,397,323)	(1,911,183)
other financings	(163,673)	(93,081)
Financing financial instruments and sales transactions of financial instruments with a repurchase commitment	(92)	(349)
Total	**(3,769,265)**	**(2,029,418)**
Net profit income	**3,240,970**	**1,809,268**

* The Income from deposits and current accounts with banks includes the return resulting from the Murabaha contract with a local bank, and the returns, profits and losses resulting from financial investments in government debt instruments belong to this bank in accordance with the investment restricted Wakala which requires investing these amounts in government debt instruments within the limits of the expected and agreed return.

7. NET FEES AND COMMISSION INCOME

	31 March 2024 EGP (in thousands)	31 March 2023 EGP (in thousands)
Fees and commissions income:		
Credit related fees and commissions	382,986	295,041
Fees of corporate financing	13,609	8,816
Custody fees	390	-
Other fees	218,321	192,068
Total	**615,306**	**495,925**
Fees and commissions expenses:		
Paid brokerage fees	(98)	(124)
Various banking commission	(4,407)	(7,704)
Credit cards paid commissions	(122,522)	(48,281)
Other fees and commissions paid	(23,475)	(19,030)
Total	**(150,502)**	**(75,139)**
Net fees and commission income	**464,804**	**420,786**

8. DIVIDENDS INCOME

	31 March 2024 EGP (in thousands)	31 March 2023 EGP (in thousands)
Equity instruments at FVPL	749	309
Total	**749**	**309**

9.NET TRADING INCOME

	31 March 2024 EGP (in thousands)	31 March 2023 EGP (in thousands)
Foreign currencies operations:		
Gain from fx deals	245,768	115,269
Gain / (Loss) of Islamic forward contracts revaluation	(25,265)	6,232
Gain / (Loss) of currency option contracts revaluation	46,600	(5,695)
Gain of revaluation of forward exchange contracts	4,464	-
Equity Instruments at FVPL	4,923	2,770
Mutual funds at FVPL	8,071	5,265
Total	**284,561**	**123,841**

10.OTHER OPERATING EXPENSES

	31 March 2024 EGP (in thousands)	31 March 2023 EGP (in thousands)
Gain / (Loss) on translation of monetary assets and liabilities denominated in foreign currencies other than those held for trading or initially designated at FVPL	94,530	(34,056)
Gain (Loss) on sale of assets reverted to bank	-	900
Gain on sale of fixed assets	-	5,284
Gain on sale of investment properties	6,628	-
Cost Of Program	(65,898)	(41,861)
operating lease expense	(40,088)	(31,227)
Other provisions	(132,121)	(116,527)
Other (expense)	(32,478)	(47,838)
Total	**(169,427)**	**(265,325)**

11.Expected CREDIT LOSSES

	31 March 2024 EGP (in thousands)	31 March 2023 EGP (in thousands)
Financing and facilities to customers	(288,957)	(176,687)
Due from banks	10,884	(3,735)
Financial investments at FVOCI	1,460	-
Financial investments at amortized cost	(6,118)	3,153
Leased Assets	(13,220)	(11,361)
Total	**(295,951)**	**(188,630)**

12.INCOME TAX EXPENSES

	31 March 2024 EGP (in thousands)	31 March 2023 EGP (in thousands)
Current tax	(907,092)	(526,226)
Deferred tax	109,110	46,032
Total	**(797,982)**	**(480,194)**

Tax on bank's profits are different from the amount resulting from application of current tax rates as follows:

Reconciliation to calculate effective tax rate

	31 March 2024 EGP (in thousands)	31 March 2023 EGP (in thousands)
Profit before tax	2,916,927	1,486,977
Applicable tax rate	22.5%	22.5%
Income tax (expenses) based on applied tax rate	656,309	334,570
Tax impact for		
Non-taxable revenues	(331,124)	(181,824)
Non-deductible tax expenses	239,005	176,305
Tax of treasury bills and bonds and dividends	233,793	151,143
Income tax expenses according to effective tax rate	**797,982**	**480,194**
Effective tax rate	**27.36%**	**32.29%**

Notes to condensed consolidated interim financial statements for the period ended 31 March 2024

13.CASH AND DUE FROM Central Bank of Egypt

	31 March 2024 EGP (in thousands)	31 December 2023 EGP (in thousands)
Cash	820,007	800,846
Balances with CBE within mandatory reserve ratio	12,366,788	9,184,571
Total	**13,186,795**	**9,985,417**
Non-Profit bearing balances	13,186,795	9,985,417
Total	**13,186,795**	**9,985,417**

14.DUE FROM BANKS

	31 March 2024 EGP (in thousands)	31 December 2023 EGP (in thousands)
Current accounts	878,144	124,842
Bank deposits*	51,185,565	48,479,700
Murabaha due from local banks*	44,329,260	37,047,764
Restricted wakala due to local banks*	(44,329,260)	(37,047,764)
	52,063,709	**48,604,542**
(less)Expected Credit Losses	(9,287)	(13,243)
Total	**52,054,422**	**48,591,299**
Balances with CBE other than mandatory reserve ratio	4,467,722	2,339,449
Local banks	46,231,835	45,232,649
Murabaha due from local banks*	44,329,260	37,047,764
Restricted wakala due to local banks*	(44,329,260)	(37,047,764)
Foreign Banks	1,364,152	1,032,444
(less)Expected Credit Losses	(9,287)	(13,243)
Total	**52,054,422**	**48,591,299**
Non-Profit bearing balances	878,144	124,842
Variable profit bearing balances	47,383,442	46,142,236
Fixed profit bearing balances	3,802,123	2,337,464
(less)Expected Credit Losses	(9,287)	(13,243)
Total	**52,054,422**	**48,591,299**
Due from banks' impairment loss provision analysis		
Balance at beginning of the Period	13,243	1,558
Net Expected credit losses recognized during the Period	(10,884)	11,326
Foreign exchange translation differences	6,928	359
Total	**9,287**	**13,243**

*Balances at banks include an amount of EGP 44,329,260 representing a Murabaha with a local bank corresponding to an investment-restricted Wakala due to the same bank for the same amount to invest the amount of the restricted Wakala in government debt instruments, An offset was conducted between them as they fulfil the requirements of offsetting between the assets and liabilities mentioned in the rules of preparing and presenting the financial statements issued by the Central Bank of Egypt on 16 December 2008.

15.FINANCING AND FACILITIES TO CUSTOMERS - (net of expected credit loss)

	31 March 2024 EGP (in thousands)	31 December 2023 EGP (in thousands)
Retail		
Debit current accounts	5,788	5,617
Credit cards	942,836	847,935
Personal financing	19,292,329	16,999,978
Real estate Financing	492,577	478,284
Total	**20,733,530**	**18,331,814**
Corporate (including SMEs)		
Debit current accounts	13,127,595	8,043,753
Direct financing	50,680,999	40,229,907
Syndicated financing	1,042,110	795,048
Credit cards	283	172
Total	**64,850,987**	**49,068,880**
Total financing and facilities to customers	**85,584,517**	**67,400,694**
Deduct:		
Expected Credit Losses	(4,994,939)	(4,213,187)
Profit in suspense	(80,090)	(87,713)
Total	**(5,075,029)**	**(4,300,900)**
Net	**80,509,488**	**63,099,794**
Classified in balance sheet as follow		
Losses)	18,027	16,305
Financing to customers (net of Expected Credit Losses)	80,491,461	63,083,489
Net	**80,509,488**	**63,099,794**
Variable-profit bearing balances	56,558,368	40,884,648
Fixed-profit bearing balances	23,951,120	22,215,146
Total	**80,509,488**	**63,099,794**

Financing and Facilities to customers' Expected Credit Losses analysis	31 March 2024 EGP (in thousands)	31 December 2023 EGP (in thousands)
Balance at beginning of the Period	**4,213,187**	**2,696,928**
Net Expected Credit Losses during the Period	288,957	1,560,772
Recoveries from previously written-off financings	12,812	30,831
Used from provision during the Period	(49,812)	(208,523)
Foreign exchange translation differences	529,795	133,179
Total	**4,994,939**	**4,213,187**

15.FINANCINGS AND FACILITIES TO CUSTOMERS - Continued

Analysis of the movement of Expected Credit losses for the customers' financing and facilities based on types:

EGP (in thousands)

	Retail				
31 March 2024	**Debit current accounts**	**Credit cards**	**Personal financing**	**Real estate Financing**	**Total**
Balance at beginning of the Period	**-**	**89,369**	**528,432**	**9,011**	**626,812**
Expected Credit Losses During the Period	-	27,418	17,729	1,622	**46,769**
Recoveries from Written off loans	-	3,657	7,080	-	**10,737**
Used provisions during the Period	-	(4,109)	(45,034)	-	**(49,143)**
Balance at 31 March 2024	**-**	**116,335**	**508,207**	**10,633**	**635,175**

	Corporate				
31 March 2024	**Debit current accounts**	**Direct financing**	**Syndicated financing**	**Other financings**	**Total**
Balance at beginning of the Period	**148,912**	**2,876,675**	**560,780**	**8**	**3,586,375**
Expected Credit Losses During the Period	30,201	111,989	99,998	-	**242,188**
Recoveries from Written off loans	-	2,075	-	-	**2,075**
Used provisions during the Period	-	(669)	-	-	**(669)**
Foreign exchange translation differences	-	529,795	-	-	**529,795**
Balance at 31 March 2024	**179,113**	**3,519,865**	**660,778**	**8**	**4,359,764**

EGP (in thousands)

	Retail				
31 December 2023	**Debit current accounts**	**Credit cards**	**Personal financing**	**Real estate Financing**	**Total**
Balance at beginning of the year	**-**	**56,138**	**574,268**	**2,060**	**632,466**
Expected Credit Losses During the year	-	37,416	84,513	6,951	**128,880**
Recoveries from Written off loans	-	13,881	12,238	-	**26,119**
Used from provision during the year	-	(18,066)	(142,587)	-	**(160,653)**
Balance at 31 December 2023	**-**	**89,369**	**528,432**	**9,011**	**626,812**

	Corporate				
31 December 2023	**Debit current accounts**	**Direct financing**	**Syndicated financing**	**Other financings**	**Total**
Balance at beginning of the year	**72,462**	**1,933,161**	**58,839**	**-**	**2,064,462**
Expected Credit Losses During the year	**76,450**	**853,493**	**501,941**	**8**	**1,431,892**
Recoveries from Written off loans	**-**	**4,712**	**-**	**-**	**4,712**
Used from provision during the year	**-**	**(47,870)**	**-**	**-**	**(47,870)**
Foreign exchange translation differences	**-**	**133,179**	**-**	**-**	**133,179**
Balance at 31 December 2023	**148,912**	**2,876,675**	**560,780**	**8**	**3,586,375**

16. FINANCIAL INVESTMENTS

16/1 FINANCIAL INVESTMENTS AT FAIR VALUE THROUGH PROFIT AND LOSSES

Financial investments at FVPL	31 March 2024 EGP (in thousands)	31 December 2023 EGP (in thousands)
A) Listed equity instruments		
Local corporate shares	22,915	17,716
Total equity instruments	**22,915**	**17,716**
B) Mutual funds certificates		
Un-Listed in stock exchange market	100,693	195,338
Total mutual funds certificates	**100,693**	**195,338**
Total financial investments at FVPL (1)	**123,608**	**213,054**

16/2 FINANCIAL INVESTMENTS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

Financial investments at FVOCI	31 March 2024 EGP (in thousands)	31 December 2023 EGP (in thousands)
A) Treasury bonds - at FV		
Listed in stock exchange market	566,043	216,022
Total Treasury bonds	**566,043**	**216,022**
B) Islamic Sukuk - at FV		
Listed in stock exchange market	247,022	151,943
Total Islamic Sukuk	**247,022**	**151,943**
B) Government treasury bills - at FV		
Un-Listed in stock exchange market	10,780,133	11,032,003
Total Government treasury bills	**10,780,133**	**11,032,003**
Detailed T-bills maturities as the following:		
Treasury bills of 91 days maturity	8,778,349	8,008,000
Treasury bills of 182 days maturity	65,050	1,350,000
Treasury bills of 273 days maturity	197,150	535,250
Treasury bills of 364 days maturity	2,153,050	1,353,000
Total	**11,193,599**	**11,246,250**
Unearned revenues	(424,880)	(211,233)
Valuation differences of treasury bills at FV	11,414	(3,014)
Net	**10,780,133**	**11,032,003**
C) Equity instruments at FV		
Un-Listed in stock exchange market	339,584	268,375
Total equity instruments	**339,584**	**268,375**
D) Mutual funds certificates at FV		
Un-Listed in stock exchange market	31,118	29,546
Total mutual funds certificates	**31,118**	**29,546**
Total financial investments at FVOCI (2)	**11,963,900**	**11,697,889**

16.FINANCIAL INVESTMENTS - Continued

16/3 FINANCIAL INVESTMENTS AT FAIR VALUE THROUGH AMORTISED COST

Financial investments at AC	31 March 2024 EGP (in thousands)	31 December 2023 EGP (in thousands)
A) Government treasury bonds		
Listed in stock exchange market	18,991,831	16,849,807
Less: Expected Credit Losses	(75,029)	(40,754)
Total government treasury bonds	**18,916,802**	**16,809,053**
B) Government treasury bills		
Un-Listed in stock exchange market	6,856,875	5,184,182
Less: Expected Credit Losses	(52,214)	(38,632)
Total government treasury bills	**6,804,661**	**5,145,550**
Detailed T-bills maturities as the following:		
Treasury bills of 273 days maturity	-	575,000
Treasury bills of 364 days maturity	7,145,464	4,679,389
Total	**7,145,464**	**5,254,389**
Unearned revenues	(288,589)	(70,207)
Less: Expected Credit Losses	(52,214)	(38,632)
Net (1)	**6,804,661**	**5,145,550**
REPOs		
Treasury bills sold with repurchase commitment within one week	(14,113)	(21,319)
Total	**(14,113)**	**(21,319)**
Unearned revenues	(106)	(163)
Net (2)	**(14,219)**	**(21,482)**
Net (1+2)	**6,790,442**	**5,124,068**
Total financial investments at AC (3)	**25,707,244**	**21,933,121**
Total financial investments (1+2+3)	**37,794,752**	**33,844,064**
Non-profit bearing balances	370,702	297,921
Fixed-profit bearing balances	36,427,279	33,147,985
Variable-profit bearing balances	996,771	398,158
Total financial investments	**37,794,752**	**33,844,064**

Debt instruments Expected Credit Losses analysis	31 March 2024 EGP (in thousands)	31 December 2023 EGP (in thousands)
Balance at the beginning of the Period	79,386	28,588
Net Expected Credit Losses during the Period	6,118	43,675
Foreign exchange translation differences	41,739	7,123
Total	**127,243**	**79,386**

16.FINANCIAL INVESTMENTS - Continued

16/4 Debt instruments at fair value

- The bank determines the fair value on the basis that it is the price that will be obtained to sell an asset or that will be paid to transfer a liability in an orderly transaction between market participants at the measurement date, taking into account when measuring fair value, the characteristics of the asset or liability in the event that market participants take those characteristics. Characteristics that are taken into account when pricing the asset and/or liability at the measurement date. These characteristics include the condition and location of the asset, restrictions on selling or using the asset and how market participants view it.
- The Bank uses the market approach to determine the fair value of financial assets and liabilities, considering that this approach uses prices and other relevant information resulting from market transactions that include assets or liabilities or a group of assets and liabilities, and are identical or comparable. Thus, the bank may use valuation techniques consistent with the market approach such as market multiples derived from comparable groups. And then the selection of the appropriate multiplier from within the scope requires the use of personal judgment, taking into account the quantitative and qualitative factors of the measurement.
- When the market approach cannot be relied upon in determining the fair value of a financial asset or a financial liability, the bank uses the income approach to determine the fair value, according to which future amounts such as cash flows or income and expenses are transferred to a current (discounted) amount so that the fair value measurement reflects market expectations current about future amounts.
- When it is not possible to rely on the market approach or the income approach in determining the fair value of a financial asset or a financial liability, the bank uses the cost approach in determining the fair value so that it reflects the amount that is currently requested to replace the asset in its current condition (the current replacement cost), so that the fair value reflects the cost incurred by a market participant as a buyer from acquiring a substitute asset that has a similar benefit since the market participant as a buyer will not initially pay more than the amount by which the benefit is exchanged for the asset.

- Level One - inputs are quoted (unadjusted) prices in active markets for identical assets or liabilities that the bank has access to at the measurement date.
- Level Two - The second level inputs are all inputs other than advertised prices within the first level, and these inputs are directly or indirectly observable to the asset or liability.
- Level Three - Level three inputs are the unobservable inputs of the asset or liability.

The following table shows the change in the methods for measuring the fair value of financial assets on March 31, 2024, from the comparative figures on December 31, 2023.

EGP (in thousands)

31 March 2024	Level One	Level Two	Level Three	Total
Financial investments in debt instruments	813,065	10,780,133	-	**11,593,198**
Mutual funds certificates	-	-	131,811	**131,811**
Equity instruments	22,915	-	339,584	**362,499**

31 December 2023	Level One	Level Two	Level Three	Total
Financial investments in debt instruments	367,965	11,032,003	-	**11,399,968**
Mutual funds certificates	-	-	224,884	**224,884**
Equity instruments	17,716	-	268,375	**286,091**

17. FIXED ASSETS (NET)

31 December 2023	Premises & Lands	Equipment & Machinery	Rennovation	Other assets	Total
			EGP (in thousands)		
Cost	246,391	104,650	364,438	807,001	**1,522,480**
Accumulated Depreciation	(46,118)	(55,982)	(142,893)	(448,371)	**(693,364)**
Disposals resulting from the sale and reclassification of subsidiaries	(77,100)	(41,286)	-	(63,269)	**(181,655)**
Net Book Value	**123,173**	**7,382**	**221,545**	**295,361**	**647,461**
Net Book Value at the beginning of the year	135,157	8,624	234,995	117,692	**496,468**
Additions	-	508	3,953	230,205	**234,666**
Disposals	(11,061)	(644)	-	(10,034)	**(21,739)**
Disposals' Accumulated Depreciation	4,679	644	-	9,507	**14,830**
Depreciation charge for the year	(5,602)	(1,750)	(17,403)	(52,009)	**(76,764)**
Net Book Value	**123,173**	**7,382**	**221,545**	**295,361**	**647,461**

31 March 2024	Premises & Lands	Equipment & Machinery	Rennovation	Other assets	Total
			EGP (in thousands)		
Cost	246,391	104,920	367,316	843,741	**1,562,368**
Accumulated Depreciation	(47,560)	(56,205)	(147,294)	(467,966)	**(719,025)**
Disposals resulting from the sale and reclassification of subsidiaries	(77,100)	(41,286)	-	(63,269)	**(181,655)**
Net Book Value	**121,731**	**7,429**	**220,022**	**312,506**	**661,688**
Net Book Value at the beginning of the Period	123,173	7,382	221,545	295,361	**647,461**
Additions	-	270	2,878	36,740	**39,888**
Depreciation charge for the Period	(1,442)	(223)	(4,401)	(19,595)	**(25,661)**
Net Book Value	**121,731**	**7,429**	**220,022**	**312,506**	**661,688**

18. DUE TO BANKS

	31 March 2024 EGP (in thousands)	31 December 2023 EGP (in thousands)
Current Accounts	1,734,982	357,803
Deposits	15,524,261	6,121,039
Total	**17,259,243**	**6,478,842**
Local Banks	2,000,178	4,384
Foreign Banks	15,259,065	6,474,458
Total	**17,259,243**	**6,478,842**
Non-profit bearing balances	1,734,982	357,803
Variable profit bearing balances	15,524,261	6,121,039
Total	**17,259,243**	**6,478,842**

19.CUSTOMERS' DEPOSITS

	31 March 2024 EGP (in thousands)	31 December 2023 EGP (in thousands)
Demand Deposits	46,408,024	45,624,314
Time and call deposits	42,686,557	34,087,087
Saving and deposit certificates	34,986,363	32,858,686
Saving Deposits	13,606,182	10,612,357
Other Deposits	5,526,617	3,849,464
Total	**143,213,743**	**127,031,908**
Corporate deposits	77,677,715	69,312,922
Retail deposits	65,536,028	57,718,986
Total	**143,213,743**	**127,031,908**
Non-profit bearing balances	18,483,974	15,176,731
Fixed profit bearing balances	124,729,769	111,855,177
Total	**143,213,743**	**127,031,908**

Notes to condensed consolidated interim financial statements for the period ended 31 March 2024

20.SUBORDINATED FINANCING and Other Islamic Financings

	31 March 2024 EGP (in thousands)	31 December 2023 EGP (in thousands)
Subordinated Financing without coupon*	1,619,148	1,052,617
Subordinated Financing with coupon**	3,777,240	2,471,448
Other Financings	1,192,130	1,229,137
Total	**6,588,518**	**4,753,202**
Subordinated Financing without coupon*		
Balance at the beginning of the Period- face value of subordinated financing	1,052,617	821,667
Subordinated financing cost using effective interest rate method	10,380	26,735
Foreign currency valuation differences	556,151	204,215
Total	**1,619,148**	**1,052,617**

***Subordinated Financing with no coupon**

The subordinated financing without interest represents an amount of 39 million US dollars granted by the Abu Dhabi Islamic Bank, the UAE, under a framework agreement for the agency with investment for a period of 6 years, starting from December 27, 2012, and in 2016 a supplementary agreement was concluded for the support financing contract by extending the term of the contract to end on December 27, 2023 On March 30, 2022, another supplementary agreement was concluded for the support financing contract, by extending the contract term to end on March 29, 2029 instead of December 27, 2023. The bank recorded the supporting financing at the current value using a discount rate of 3.25%, and these supplementary agreements resulted in the loading of equity net The amount of 12.465 thousand Egyptian pounds, which represents the difference between the nominal value and the present value of the financing at the date of the term extension agreement.
This agreement also resulted in an expected profit for the agent of 6.25% of the investment amount.

****Subordinated Financing with coupon**

Abu Dhabi Islamic Bank - AUE

**On 29 December 2016 the bank was granted an additional subordinated financing of USD 9mn from Abu Dhabi Islamic Bank-UAE under Wakala investment agreement for 7 years starting from 29 December 2016 with a profit rate equals to 6.5% from the investment amount, which is not significantly different from the market discount rate.

**On 28 March 2019, the bank was granted an additional subordinated financing of USD 30mn from Abu Dhabi Islamic Bank-UAE under Wakala investment agreement for 7 years starting from 28 March 2019 with a profit rate equals 9.88% from the investment amount, which is not significantly different from the market discount rate.

International Finance Corporation

**On 07 July 2023 the bank was granted an additional subordinated financing of USD 50mn from International Finance Corporation under Murabaha agreement for 5 years starting from 07 July 2023 with a profit rate equals to 9.433% from the investment amount, which is not significantly different from the market discount rate.

21.OTHER PROVISIONS

EGP (in thousands)

31 March 2024	Provisions for Contingent Claims	Tax Provision	Provision for Contingent Liabilities	Other Provisions	Total
Balance at beginning of the Period	**76,969**	**46,764**	**952,055**	**2,010**	**1,077,798**
Impairment charged during the Period	7,921	-	302,682	-	**310,603**
Used provision during the Period	-	(3,618)	-	-	**(3,618)**
Provision No longer Required	(144)	-	(178,338)	-	**(178,482)**
Foreign exchange translation differences	-	-	180,456	-	**180,456**
Balance at 31 March 2024	**84,746**	**43,146**	**1,256,855**	**2,010**	**1,386,757**

31 December 2023	Provisions for Contingent Claims	Tax Provision	Provision for Contingent Liabilities	Other Provisions	Total
Balance at beginning of the year	**17,432**	**45,519**	**679,617**	**2,010**	**744,578**
Impairment charged during the year	57,446	5,133	254,554	-	**317,133**
Used provision during the year	(2,804)	(3,888)	-	-	**(6,692)**
Provision No longer Required	(101)	-	(64,303)	-	**(64,404)**
Foreign exchange translation differences	-	-	82,187	-	**82,187**
Transfer From/ To Liabilities	4,996	-	-	-	**4,996**
Balance at 31 December 2023	**76,969**	**46,764**	**952,055**	**2,010**	**1,077,798**

22.CAPITAL

22.1 The Authorized Capital

- The authorized capital amounted to EGP 7 billion (31 December 2023: EGP 7 billion).

22.2 Issued and paid up capital

- The issued and paid-up capital amounted to 5 billion Egyptian pounds (represented by 500 million shares with a nominal value of 10 Egyptian pounds per share) (December 31, 2023: 5 billion Egyptian pounds).

22.3 paid up capital under registration

- The ordinary general assembly of Abu Dhabi Islamic Bank - Egypt, held on March 21, 2024, approved an increase in the issued and paid-up capital from 5 billion Egyptian pounds to 6 billion Egyptian pounds, with an increase of 1 billion Egyptian pounds distributed over 100 million shares with a nominal value of 10 pounds per share through bonus shares. All necessary legal procedures are underway, and the commercial registry of the bank is being updated with a capital of 6 billion Egyptian pounds.

23.RESERVES

	31 March 2024 EGP (in thousands)	31 December 2023 EGP (in thousands)
Legal Reserve	477,942	255,491
General Reserve	54,955	54,955
Special Reserve	34,634	31,968
Capital Reserve	46,304	4,748
General Risk Reserve	219,979	219,979
Fair value reserve	278,335	178,049
Total reserves	**1,112,149**	**745,190**

24.RELATED PARTIES TRANSACTIONS

Transactions balances with related parties included through the period are as follows:

The related parties transactions balances included are represented as follows:

Relationship Nature	Account Nature	Transaction Nature	31 March 2024 EGP (in thousands)	31 December 2023 EGP (in thousands)
Major Shareholders	Assets	Due from banks	3,676	1,257
Major Shareholders	Assets	Other Assets	63,305	58,592
Major Shareholders	Liabilities	Due to banks	4,921,100	48,199
Major Shareholders	Liabilities	Subordinated financing	3,035,613	1,979,410
Major Shareholders	Liabilities	Other Liabilities	20,086	3,798,573
Major Shareholders	Liabilities	Management fees	249,281	200,838
Major Shareholders	Shareholders equity	Difference between face value and present value for subordinated financing	29,077	30,435
Associates Companies	Liabilities	Customers deposits	286,872	137,440

The related parties transactions during the year are represented as follows:

Relationship Nature	Account Nature	Transaction Nature	31 March 2024 EGP (in thousands)	31 March 2023 EGP (in thousands)
Major Shareholders	Expenses	Cost of subordinated financing with no coupon using EIR method	(37,152)	(24,084)
Major Shareholders	Expenses	Cost of subordinated financing with coupon	(22,016)	(120,644)
Major Shareholders	Expenses	Cost of subordinated financing with coupon	(19,378)	-

*Wages, salaries and in kind benefits on March 31, 2024 shall include an amount of 19,630 thousand Egyptian pounds (March 31,2024 : 14,437 thousand Egyptian pounds) which shall represent the total number of the largest twenty employees’ rewards and salaries in the bank combined.

25.SIGNIFICANT EVENTS

Economic factors

- In order to support the goal of price stability, the Monetary Policy Committee (MPC) decided to raise the overnight deposit and lending interest rates and the Central Bank's main operation rate. By 200 basis points on February 4, 2023, reaching 21.25%, 22.25%, and 21.75%, respectively. Then, on March 6, 2024, the Monetary Policy Committee of the Central Bank of Egypt decided to raise the overnight deposit and lending rates and the Central Bank's main operation rate by 600 basis points to reach 27.25%, 28.25% and 27.75%, respectively. The credit and discount rates were also raised by 600 basis points to reach 27.75%. in addition to Liberation of Exchange Rates
- Moody's credit rating agency announced a positive adjustment to its outlook for Egypt's credit rating while maintaining the credit rating at "Caa1".
- Fitch and S&P credit rating agency announced a positive adjustment to its outlook for Egypt's credit rating while maintaining the credit rating at "B-".